23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and nine months ended September 30, 2019 and 2018 are calculated as follows:

(1) Ordinary shares

(In millions of Korean won and thousands of number of shares)	2019		2018	
	3 Months	9 Months	3 Months	9 Months
Profit for the period attributable to owners of the Parent company	₩ 6,105,039	₩ 16,277,059	₩ 12,967,428	₩ 35,560,808
Profit for the period available for ordinary shares	5,365,454	14,305,202	11,396,510	31,252,853
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783	5,969,783	5,970,672
Basic earnings per ordinary share (*in Korean won*)	₩ 899	₩ 2,396	₩ 1,909	₩ 5,234

(2) Preference shares

(In millions of Korean won and thousands of number of shares)	2019		2018	
	3 Months	9 Months	3 Months	9 Months
Profit for the period attributable to owners of the Parent company	₩ 6,105,039	₩ 16,277,059	₩ 12,967,428	₩ 35,560,808
Profit for the period available for preference shares	739,585	1,971,857	1,570,918	4,307,955
Weighted-average number of preference shares outstanding	822,887	822,887	822,887	823,094
Basic earnings per preference share (*in Korean won*)	₩ 899	₩ 2,396	₩ 1,909	₩ 5,234

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three and nine months ended September 30, 2019 and 2018.

24. Cash Flows

(A) Adjustments and changes in assets and liabilities arising from operating activities for the nine months ended September 30, 2019 and 2018 are as follows:

(1) Adjustments

(In millions of Korean won)		2019		2018
Adjustments for:				
Income tax expense	₩	6,201,245	₩	13,669,416
Financial income		(3,150,812)		(2,922,912)
Financial expenses		1,773,458		1,995,250
Post-employment benefits		828,596		705,644
Depreciation		20,026,883		18,569,050
Amortization		826,921		1,020,676
Bad debt expenses (reversal)		(205,711)		46,742
Dividend income		(116,091)		(102,619)
Share of profit from associates and joint ventures		(252,672)		(289,126)
Gain on disposal of property, plant and equipment		(223,067)		(272,452)
Loss on disposal of property, plant and equipment		103,079		59,334
Loss on valuation of inventories and other		708,114		1,569,403
Gain on disposal of investments		(39,387)		(16,623)
Other		(82,146)		105,531
Total	₩	26,398,410	₩	34,137,314

(2) Changes in assets and liabilities arising from operating activities

(In millions of Korean won)		2019		2018
Changes in assets and liabilities:				
Increase in trade receivables	₩	(2,435,271)	₩	(5,409,393)
Decrease (increase) in non-trade receivables		(52,847)		858,372
Decrease (increase) in advance payments		(179,428)		47,854
Decrease (increase) in long-term and short-term prepaid expenses		307,985		(221,570)
Increase in inventories		(1,542,096)		(4,960,503)
Increase in trade payables		869,972		1,189,019
Decrease in long-term and short-term other payables		(1,298,315)		(3,350,738)
Increase (decrease) in advances received		201,201		(126,106)
Increase (decrease) in withholdings		(136,253)		33,325
Decrease in accrued expenses		(3,756,007)		(3,989,982)
Increase in provisions		1,801,921		2,161,806
Payment of post-employment benefits		(265,132)		(271,804)
Other		(987,477)		(2,231,773)
Total	₩	(7,471,747)	₩	(16,271,493)

(A) For the nine months ended September 30, 2019, cash outflows from principal repayment (financial activities) and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 494,828 million and ₩ 76,891 million, respectively.